// FINAL RESEARCH NOTE · NQ FUTURES · 5-MINUTE

OPENING-RANGE PULLBACK

Buy the first pullback that holds an opening-range breakout. Selected on 2021–23, confirmed on a test period and a sealed holdout — and checked, candidly, against the eleven years (2010–2020) it was never built on.

+$12.6	1.23	t 3.8	6 / 6
AVG NET TRADE · 1 MNQ	PROFIT FACTOR 2021–26	1,665 TRADES	POSITIVE YEARS 2021–26

Bottom line. A real, steady edge in the post-2020 Nasdaq market — every year since 2021 positive, the sealed holdout included — with no edge at all in 2010–2020. Trade it as a regime strategy: small size, live monitoring, a written switch-off rule.

INSTRUMENT	TIMEFRAME	SAMPLE	PERIOD
NQ / MNQ	5 min (+1 min fills)	1,665 trades	2021 – 07/2026

01 / HYPOTHESIS & RULES

Wait for the break to be defended

Initiative at the open, confirmed by a pullback that fails to re-enter the range.

A break of the first fifteen minutes' range shows one side taking initiative. Buying the break itself often buys the top of the impulse. Waiting for the **first counter-colour 5-minute candle that still closes outside the range** enters at a better price — and only after the market has shown it is defending the break. The 15-minute range, 5-minute confirmation and fixed bracket were chosen in a structured search over opening-range variants on 2021–23 data, then frozen.

01 **Opening range** = high and low of 09:30–09:45 New York time.

02 **Long:** armed once a 5-minute bar closes above the range high. Trigger = the first later **red** bar that still closes above it. Enter at that close.

03 **Short:** mirror image — armed by a close below the range low; trigger = the first later **green** bar still closing below it.

04 **One trigger per side per day**; a trigger blocked by a guard still uses up that side.

05 **Bracket:** stop 50 points, target 100 points from entry. If both are touched in the same minute, the stop is assumed first.

06 **Time exit:** flat at 15:55. **Guards:** one position at a time, max 2 trades and 2 losing trades per day, entries on bars closing 09:35–15:30.

> **Execution assumptions.** Entry at the signal bar's close; exits on 1-minute bars; 1 point per MNQ round trip (≈ commission + one tick of slippage each side). Fixed size, no averaging, no scaling.

02 / RESULTS

Selection, test, sealed holdout

1 MNQ, net of costs. The holdout was opened once, after the rules were frozen.

PERIOD	TRADES	WIN	PF	AVG $	NET $	MAX DD $	T
2021–2023 · selection	902	45%	1.25	+13.35	+12,046	-1,540	+3.04
2024 – Jul 2025 · test	477	40%	1.17	+9.58	+4,568	-1,868	+1.54
Aug 2025 – Jul 2026 · sealed holdout	286	42%	1.27	+15.51	+4,434	-1,428	+1.86
2021 – 2026 · all	**1,665**	**43%**	**1.23**	**+12.64**	**+21,048**	**-1,868**	**+3.83**
Longs	883	44%	1.24	+13.06	+11,530	-1,344	+2.93
Shorts	782	42%	1.21	+12.17	+9,518	-1,876	+2.48



Cumulative net P&L per MNQ, 2010–2026. Shaded: the 2021+ period the rules were developed and validated on.

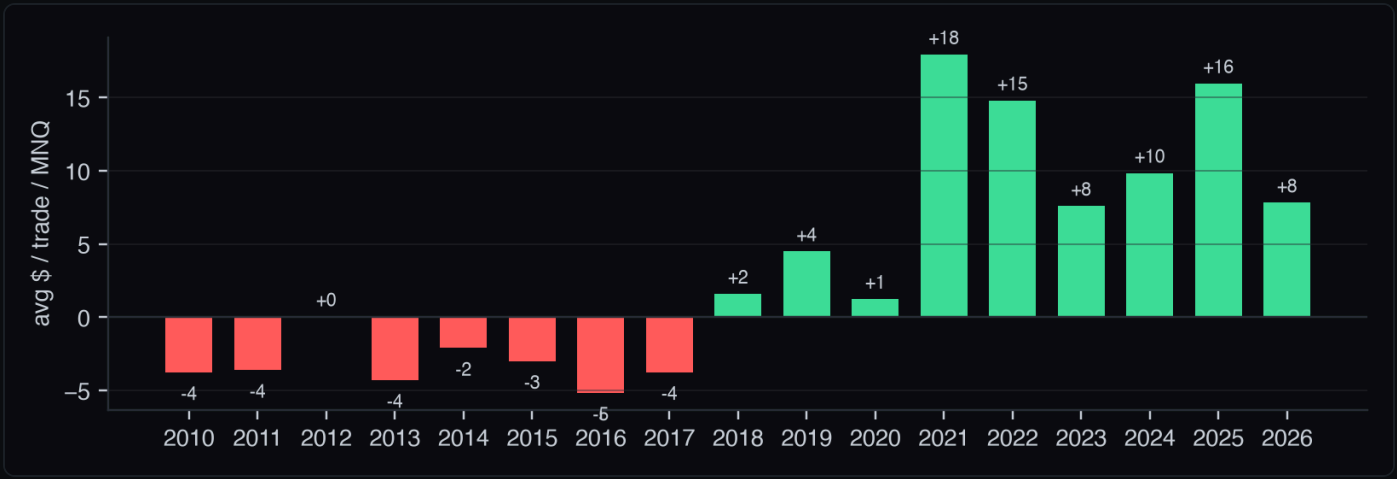
Low win rate by design. Targets are twice the stop, so 43% winners is enough. Exits 2021–26: 887 stops, 495 targets, 283 at 15:55.

Both sides work. Longs +$13.1 and shorts +$12.2 per trade, profit factors 1.24 and 1.21 — the edge is not a disguised long-only drift.

03 / THE REGIME QUESTION

Eleven years it was never built on

Average net $ per trade per MNQ, by year. Every year 2010–2017 negative; every year since 2021 positive.



CHECK	RESULT	READING
Same rules, NQ 2010–2020	2,693 trades · PF 0.94 · –$1.4 · t –1.1	no edge before 2021
Random direction, same entries, 2010–20	–$1.5 / trade	direction carried no information then
Bracket scaled to price (50/100 at NQ 15,000)	2010–20 –$1.3 · 2021–26 +$11.1	not an artifact of fixed points
ES, same rules scaled to price	2010–20 t –3.5 · 2021–26 t +0.9	does not transfer well to ES
Gold (GC), scaled, NY session	2017–20 t –0.6 · 2021–26 t –1.4	no edge on gold
0DTE natural experiment (NQ Tue/Thu expiries, Oct 2022)	Tue/Thu vs Mon/Wed/Fri gain –1.8 bp · t –0.4	no 0DTE fingerprint

Reading. Something changed in NQ around 2020–21 — candidates include the growth of short-dated options, the retail/options boom and mega-cap concentration — and the opening-range pullback started to carry information on every weekday at once. The cause cannot be pinned down from price data. **The edge is real in the current market; nobody can say when that market ends.**

04 / PROP USE · LIMITS · SETUP

How to run it

Thin per-trade edge, steady path, regime-dependent.

In a prop evaluation. Alone at 2 MNQ under 50K LucidFlex-style rules ($3k target, $2k end-of-day trailing drawdown, 50% consistency), pass within 60 days: **41%** (2021–23), **35%** (2024–25), **44%** (holdout). Better as one component of a diversified set of strategies than as a stand-alone evaluation strategy.

Switch-off rule. Track the rolling 6-month net profit ÷ max drawdown; size to zero below half its backtest norm and resume when it recovers. Historically this cut the 2010–16 losses by about three-quarters, at the cost of a third of 2021–26 profit.

Limits.

- **Regime dependence** — section 03.
- **Thin edge** — +$12.6 per MNQ ≈ 6 points; two extra ticks of slippage a side remove a sixth of it.
- **Selection** — the rules came from a search; the holdout sits inside the same 2021+ regime.
- **Fixed points** — 50/100 is tuned to 2021–26 prices; `PriceScaled` keeps the proportion.

> **MultiCharts.** Signal `PB_F9b_ORPullback.txt` . NQ or MNQ, **5-minute** bars, bar-close stamps, intra-bar order generation **off**, **Bar Magnifier 1 minute**. Chart time zone = Exchange; `ChartIsCentral = true` for Chicago-time feeds, `false` for New-York-stamped bars. Set commission and slippage in Strategy Properties.

Data: NQ continuous 1-minute bars 2010-06 – 2026-07; ES 2010–2026; GC 2017–2026. Win rate = trades with positive net P&L. Profit factor = gross wins ÷ gross losses. Max DD = peak-to-trough closed-trade equity. Research only — not trading advice.